

SOME SIX MONTHS ago, Hyderabad-based Ind-Barath Energy walked out of the Insolvency and Bankruptcy Code (IBC) proceedings with a new buyer, JSW Energy, after nearly four years. Under the IBC's timelines, the process should have taken six months, or a maximum of a year if one factors in litigation. The outcome was equally disappointing, with banks recovering just ₹1,047 crore of the ₹5,500 crore of dues the thermal power producer had. Ind-Barath isn't an exception. More than half

the default cases at the IBC have been languishing for more than nine months without any resolution. Besides, the financial creditors—mostly banks—are usually able to recover only a small percentage of the admitted claims. For instance, in the case of Videocon Industries, the recovery was just around 5 per cent. The average recovery value stands at 34 per cent of the claims since this game-changing law came into force in 2016.

What ails the IBC? In its seventh year, the law is caught in a maze of litigation, new interpretations, amendments (as many as 84 to date), challenges from stakeholders, and new precedents set by the Supreme Court. (*See graphic Hits & Misses*). That's a far cry from the IBC's intent, which is to restructure and revive a defaulting company. According to Daizy Chawla, Managing Partner at S&A Law Offices, the IBC is being used as a recovery tool, not just by operational creditors or suppliers, but also financial creditors.

The IBC did have some success in its initial days with the resolution of Essar Steel and Binani Cement, where bankers had recoveries of 90-100 per cent. Times have changed since then. But the time taken for resolution has always been a challenge. Technically, the IBC operates on strict deadlines; for instance, 14 days for admission or rejection of an insolvency application and 90 days for submission of claims. "How the courts can incorporate the IBC process within these timelines is a challenge," says Rajesh Narain Gupta, Managing Partner at law firm SNG & Partners.

Some quick fixes seem to be on the anvil. The Parliament's monsoon session is expected to see more amendments to the law. "We are so focussed on changing the law. The law is very mature. The participants are not mature enough to implement the law. We need some initiatives on skill development be-

HITS & MISSES

The seven-year report card

6,567
TOTAL NUMBER
of default
cases admitted
to IBC

678
NUMBER OF CASES
Resolved by
IBC successfully
(10.32 per cent)

₹8.9
LAKH CRORE
Total outstanding
dues of the
creditors in all the
admitted cases

₹2.86
LAKH CRORE
The amount
realised by the
creditors
in the resolved cases
(32.13 per cent)

₹1.69
LAKH CRORE
Liquidation
value of the
resolved cases
(18.99 per cent)

68
PER CENT
Haircut taken
by creditors
since inception

614
DAYS
Average
time taken for
closure of
cases

7
PER CENT
Liquidation
value as a
percentage
of claims

DATA AS OF MARCH 31, 2023

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fore improving the law," advises Abizer Diwanji, Financial Services Leader at EY India. More than the amendments, experts feel the IBC also needs intent, judges with subject expertise, trust in the banking system and an ecosystem of investors who invest in distressed assets (*See box An Agenda for Change*). How does one do that? Let us have a look at the long-term fixes.

The Pre-pack Model

Two years ago, when Covid-19 impacted MSMEs the most, the government introduced a simpler, pre-pack insolvency model. Unlike the court-driven IBC process, here the lenders are allowed to restructure the stressed loans. But the model didn't find many takers, with only